

Investment Thesis – Nokia

Recommendation: HOLD

Current Outlook: Constructive Long-Term

Nokia has undergone a significant strategic transformation over the past decade, evolving from its legacy consumer handset business into a telecommunications and networking infrastructure company increasingly positioned around AI infrastructure, optical networking, cloud networking, and hyperscaler demand. While Nokia historically operated as a cyclical telecom infrastructure provider heavily dependent on carrier spending cycles, recent operational trends suggest the company is gradually transitioning toward higher-quality and potentially higher-margin infrastructure markets tied to next-generation connectivity and cloud infrastructure.

Recent financial performance indicates early signs of improving operational execution and profitability recovery. During Q1 2026, Nokia improved from an operating loss in the prior-year period to an operating profit of approximately €62M, while gross profit, segment profitability, and operating efficiency also improved. Although profitability metrics remain below peers such as Cisco and Ericsson, the direction of improvement appears increasingly constructive following several years of restructuring efforts and operational stabilization.

The company's Network Infrastructure segment has emerged as Nokia's primary growth engine, benefiting from accelerating AI datacenter investment, hyperscaler demand, optical networking expansion, and increased need for high-capacity networking solutions. Optical Networks demonstrated particularly strong momentum during the quarter, supported by cloud infrastructure demand and AI-related networking investment. Additionally, Nokia's software, licensing, and cloud-related businesses continue contributing to improved earnings quality, stronger margin profile potential, and greater revenue diversification.

Strategic initiatives and partnerships further reinforce Nokia's evolving positioning within next-generation networking markets. The Infinera acquisition strengthens Nokia's optical networking capabilities and hyperscaler exposure, while Nvidia's strategic partnership and investment tied to AI-native 5G-Advanced and 6G infrastructure appear to provide strategic validation of Nokia's long-term networking opportunity.

Investor sentiment surrounding Nokia has also shifted materially in recent months. The company's substantial stock rerating and expanding valuation multiples suggest investors are increasingly viewing Nokia less as a mature telecom equipment provider

and more as a potential long-term beneficiary of AI infrastructure expansion and next-generation networking demand. The market's bullish sentiment likely reflects improving operational profitability, accelerating optical networking demand, expanding exposure to AI and hyperscaler infrastructure markets, strategic partnerships, and expectations for future margin expansion and stronger business quality.

However, despite improving fundamentals and stronger long-term positioning, Nokia's current valuation already appears to reflect elevated expectations surrounding future growth, profitability, and long-term networking demand. Valuation multiples expanded significantly relative to historical levels, particularly across EV/EBITDA and P/E metrics, suggesting investors may already be pricing in a more optimistic operational scenario tied to sustained infrastructure momentum and continued margin expansion. A base-case discounted cash flow analysis also suggests current market pricing increasingly reflects optimistic expectations surrounding Nokia's long-term operational improvement, margin expansion, and networking infrastructure opportunity.

As a result, Nokia's next several earnings reports will likely become increasingly important in determining whether the company can continue delivering the operational improvement currently implied by market expectations. Continued margin expansion, stronger free cash flow generation, infrastructure momentum, and successful execution within optical networking and hyperscaler markets will likely remain critical in supporting the company's recent rerating and long-term investment outlook.

Overall, Nokia appears to be evolving into a stronger and more strategically relevant networking infrastructure business with increasing exposure to long-term AI, cloud, and hyperscaler demand trends. While the company's strategic direction and operational trajectory appear increasingly constructive, current valuation levels suggest investors are already anticipating substantial future improvement. As a result, the stock appears appropriately valued relative to near-term execution risk, supporting a HOLD recommendation with a constructive long-term outlook. Future earnings performance and continued execution within AI and optical networking markets will likely determine whether Nokia can justify its recent valuation expansion over the long term.